public equity on a risk-adjusted basis. In fact, the evidence is precisely the opposite.[36] In the words of Antoinette Schoar, "This industry has had very poor performance over the last 25 years."[37]

4. Agency Issues

Most asset owners, lacking the expertise to invest in PE directly, hire outside managers to help them. PE investment is then primarily a bet on manager skill, so agency issues are extremely important.

Would you sign a contract where the investor . . .[38]

1. Has no right to examine the underlying assets?
2. Does not receive return numbers, but only complicated nonlinear functions of subjective "values" (called IRRs and multiples)?
3. Receives opaque, sometimes meaningless, status reports?
4. Can't withdraw money on demand?
5. Gives incentives to the PE manager to reduce distributions, empire-build, and make poor investments in fields outside the manager's primary expertise?
6. Is charged fees for investments the PE manager has not yet made, and in the extreme case never will make, rather than on current investments?
7. Allows managers to hold onto worthless investments so that they can milk fees from investors for as long as possible?

This is the current state of PE contracts.

4.1. PRIVATE EQUITY CONTRACTS

There are three main ways of compensating GPs:[39]

1. Regular annual fees, which are *management fees*;
2. Incentive fees, called *carried interest*; and
3. Other fees, which include fees for transactions (buying or selling companies), advisory and monitoring, specialist consulting work on the portfolio companies, director fees, and so on. These are called *portfolio company fees* (or *transactions fees*) because they are levied on the underlying private companies and are often not directly visible by LPs.

[36] Bond and Mitchell (2010) show a conspicuous lack of alpha, on average, for managers in the other major illiquid asset class, real estate. For a summary of active management in real estate see chapter 11 and Ang, Goetzmann, and Schaefer (2011).

[37] From a presentation made by Schoar at the World Investment Forum on May 22, 2011.

[38] Adapted from Ang (2011).

[39] LPs, not GPs, are usually responsible for *organizational fees* in forming the PE fund.